

# Investment Credit Memorandum

Bluewater CLO 2023-1 | Cascade Health Services | 20 October 2023

## 1. Recommendation

Credit committee is asked to approve a \$7,000,000 allocation of the Cascade Health Services unitranche into the Bluewater CLO 2023-1 warehouse, and to roll that position into the CLO at closing. The borrower is Cascade Health Services, headquartered in Boston. The financial sponsor is Northline Healthcare. Analyst: Marcus Chen. Committee chair: David Okonkwo. Portfolio manager: Priya Raman, Meridian Credit Partners LLC.

Recommendation: Approve at a maximum par of \$7,000,000 (1.75% of the \$400,000,000 target CLO portfolio). The name sits inside the 2.0% single obligor concentration limit in the Bluewater CLO 2023-1 indenture. Moody's corporate family rating is B2. S&P issuer credit rating is B. The loan is US dollar denominated and is eligible collateral under the term sheet dated 2 November 2023.

## 2. Borrower and sponsor

Cascade Health Services operates in Healthcare. The company is owned by Northline Healthcare. Neither the sponsor nor the borrower is affiliated with Meridian Credit Partners LLC.

Related book names in Bluewater CLO 2023-1 include Atlantic Cage-Free Farms, Seaboard Telecom LLC. Those names are separate obligors and should not be aggregated for the single obligor test.

## 3. Facility terms

Instrument: Cascade Health Services unitranche. Spread: SOFR + 3.75% with a 0.75% floor. The credit agreement is covenant-lite. Bridgeport Bank is the warehouse lender to Bluewater CLO 2023-1.

## Investment Credit Memorandum

Bluewater CLO 2023-1 | Cascade Health Services | 20 October 2023

### 4. Credit highlights and risks

Highlights: sponsor support from Northline Healthcare, first-lien or unitranche collateral, and an allocation inside the 2.0% obligor cap.

Risks: sector cyclical in Healthcare and add-on acquisition risk. Marcus Chen confirmed that Moody's industry classification for Cascade Health Services is 'Healthcare'.

### 5. CLO fit and covenants

The allocation complies with the Class A/B Overcollateralization Test methodology because the loan is par-eligible and rated B2. It uses 1.75 of the 2.00 percentage-point largest-obligor covenant. Priya Raman confirmed the trade for Bluewater CLO 2023-1.

If Cascade Health Services is downgraded to Caa1, the position would count toward the 7.5% Caa bucket in the Bluewater CLO 2023-1 indenture. Harbor Trust Company, N.A. would reflect that classification on the next monthly trustee report. Meridian Credit Partners LLC would then evaluate a sale during the reinvestment period.

### 6. Committee decision

Credit committee of Meridian Credit Partners LLC approved the \$7,000,000 purchase for the Bluewater CLO 2023-1 warehouse on 20 October 2023. Voting members: David Okonkwo (chair), Priya Raman, and Marcus Chen. The trade will settle into the Bridgeport Bank warehouse and be conveyed to Bluewater CLO 2023-1, Ltd. on the closing date of 16 November 2023.